

ADP Insurance Services: Pay-by-Pay Service Addendum



This Addendum ("Addendum") is between ADP, LLC. ("ADP"), the party listed below as Client ("Client") and Automatic Data Processing Insurance Agency, Inc. ("Agency") and supplements the agreement between Client and ADP that governs your payroll services (the "Agreement").

1. **The Services.** Subject to the following terms and conditions, ADP will provide Client with ADP's Pay-By-Pay[®] services for workers' compensation insurance and any other insurance products supported by the Pay-By-Pay Premium Payment Program. The Agency will provide Client with certain services as an insurance agent.
2. **Availability of Pay-by-Pay Services.** Client acknowledges that the Pay-By-Pay service is only available to Clients that have been approved by the participating insurance carrier (the "Carrier") for Pay-by-Pay and who remain ADP payroll and tax filing clients. If Client signs up for Pay-By-Pay services and payroll/tax filing services at the same time, Client understands that if it fails to commence using the payroll/tax filing services within 30 days of the effective date of a) Client's workers' compensation insurance policy, and/or b) any insurance product supported by the Pay By Pay Premium Payment Program, and/or c) fails to consistently process payroll in accordance with the Agreement, Client's workers' compensation insurance and any other insurance product premiums will be converted to the Carrier's standard premium payment plan, if made available to Client by the Carrier. In addition, if the ADP payroll services and/or tax filing services are terminated at any time while Client is receiving the Pay-By-Pay services, Client's workers' compensation insurance and any other insurance products policies will be converted to the Carrier's standard premium payment plan, if made available to Client by the Carrier. Client understands that if the Carrier elects not to make available a payment plan for Client and Client does not pay the policy premiums in full, Client's policies may be cancelled by the Carrier. Client agrees that it will immediately notify Agency in the event that it has elected not to use or to terminate its ADP payroll and/or tax filing services.
3. **Selection of Insurance Carriers.** Client acknowledges that Agency has and/or may in the future assist Client with obtaining insurance from insurance carriers. Client understands that neither ADP nor Agency is making this insurance available to Client; neither ADP nor Agency is representing Client in the selection of the insurance carrier; and that neither ADP nor Agency is an affiliate of any of the insurance carriers. Client acknowledges that Agency works with a limited number of insurance carriers, that Agency may not obtain quotes from all available insurance carriers, and in most instances will obtain only one quote. Neither ADP nor Agency guarantees the financial stability or performance of any such insurance carriers. Therefore, Client should make sure that it is and remains satisfied with the financial stability and performance of the insurance carrier from whom it chooses to obtain insurance. Client further acknowledges that Agency receives compensation from insurance carriers in the form of commissions on insurance that Agency has assisted Client in obtaining from insurance carriers.
4. **Carrier Applications, Paperwork and Reports.** Agency may assist Client with the completion of applications and other paperwork required to be submitted to insurance carriers, including assignment of classification codes to its employees. Client acknowledges and agrees that Agency may at Carrier's request provide Client's Pay-by-Pay reports, Quarterly Tax Reports or related payroll information solely to assist the Carrier in the completion of Client's final policy audit. Client will be responsible for reviewing all such applications, paperwork, records and reports and will promptly notify Agency of any incorrect information included in such applications, paperwork, records and reports. Client acknowledges that they not Agency, will be responsible for any incorrect information and any premiums due the Carrier.
5. **Premium Audit Report.** If Agency has obtained Client's power of attorney to complete the premium audit report required by Client's Carrier, Agency may complete the paperwork on behalf of Client. Client will be responsible for reviewing such paperwork and will promptly notify Agency of any incorrect information included in such paperwork. Client understands that the Pay-by-Pay Services in no way alters the Client's policy terms or other obligations to their Carrier. Client acknowledges that the information included by Agency in the paperwork will be based on Client information provided to ADP or Agency by Client or contained in ADP systems or reports that have been accessible to Client. Therefore, Client, not Agency, will be responsible for any such Client information included in such paperwork. Client will be responsible for any premium due at the end of the policy term.

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5. **Notifications to Agency.** If Client wishes to request policy changes, change payment terms and/or terminate its policy and desires Agency to assist Client in facilitating these changes with the Carrier, Client will provide Agency with a formal written notice of such request. If Client fails to provide the Agency with a formal written notice of such request, the Carrier may decline to process the request and in certain cases, could cancel Client's policy. All such notices shall be provided to the Agency at 71 Hanover Road, MS 625, Florham Park, NJ 07932 or such other address as the Agency may provide to you in writing from time to time.
6. **Single Class Code Information.** Client acknowledges in certain instances where only one classification code is assigned to employees and no more than One Thousand dollars (\$1,000.00) in catch up premium is owed, and annual premium is no more than Five Thousand dollars (\$5000.00), ADP will automatically begin, in accordance with the terms of this agreement, calculating and processing the Pay-By-Pay Service. Additionally, if a Single Class Code Client purchases an additional insurance product as described in Section 2(b) above, ADP will begin in accordance with the terms above, processing the premium payments as required by the Carrier.
7. Client understands ADP will communicate confidential employee information to the Client at the e-mail address provided below and it is Client's responsibility to ensure the confidentiality and security of the provided email address below.
8. **Pay-by-Pay Service Fees.**

Pay-by-Pay Service Fee for 12 Months: **\$15.00** per processing payroll

ADP may change this Pay-By-Pay service fee upon 30 days prior written notice to Client if the fee change is a result of a general price change by ADP to its Pay-By-Pay services clients. ADP will debit the Pay-By-Pay service fee from your designated account. Please sign the Debit Authorization terms below to set up this pre-authorized debit.

9. **Application of Agreement to Agency.** Client acknowledges that all the general rights and obligations of ADP set forth in the Agreement (e.g., performance standards, confidentiality, limitations of liability, termination, etc.) shall also apply to the Agency.

The terms of this Addendum are in addition to, and subject to, the terms of the Agreement. All other terms of the Agreement shall remain in full force and effect. In the event of any conflict between the terms of this Addendum and the Agreement, this Addendum shall prevail.

IN WITNESS WHEREOF, the parties hereto have executed this Addendum.

AUTOMATIC DATA PROCESSING
INSURANCE AGENCY, INC.

ADP, LLC

By: **X** Ken Livingston
DocuSigned by: D344663268CC425...
 Name: **Kenneth Livingston**
 Title: **President**
 Date: **1/21/2020**

By: Nancy M. Murin
 Name: Nancy Murin
 Title: President
 Date: 1/21/2020

By: Chris D'Ambrosio
 Name: Chris D'Ambrosio
 Title: Senior VP/GM
 Date: 1/21/2020

CONFIDENTIAL CLIENT E-MAIL ADDRESS: karen.craft@johnstonehvac-ny.com

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DEBIT AUTHORIZATION

In connection with the ADP Pay-By-Pay services, you hereby authorize ADP, LLC. ("ADP") or Automatic Data Processing Insurance Agency, Inc. ("Agency") to debit the following: (a) the amount of the approximate premium due to your workers compensation insurance carrier ("Carrier") and any additional insurance products purchased and supported by the Pay-By-Pay Premium Payment Program, (b) premium adjustments assessed by your Carrier, if permissible, and (c) ADP's fees for the service, in each case from the bank account from which ADP debits your payroll taxes. The terms of the Debit Authorization, which you signed for the debit of your payroll taxes are incorporated herein and shall be binding upon you with respect to debits authorized hereunder except that the bank accounts for direct wires and reverse wires shall be as indicated below. This authorization shall remain in effect until terminated by you and until ADP, the Agency, and your bank have had a reasonable opportunity to act thereon. If you desire to change this authorization, you should provide ADP with a new Debit Authorization and voided check for the new account at least twenty days prior to the effective date of such change.

Company Name: The KL Group Inc

Client Code:

Authorized Client Representative: Kenneth Livingston

Title: President

(Must be an authorized signatory on the account referenced above)

Date: 1/21/2020

DocuSigned by:

Signature X:

Ken Livingston

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changed by notice from ADP).

BANK	ABA	DDA	DESCRIPTION
JP Morgan Chase	021000021	304-940917	Direct Wire Impound Account
JP Morgan Chase	021000021	304-939315	Reverse Wire Impound Account

In consideration for the additional costs incurred by ADP in providing wire transfer service, Client agrees to pay a reasonable fee (currently \$10.00) for each wire transfer.